

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

SM LINE CORPORATION,

Respondent.

Docket No. 23-01

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S
MOTION FOR LEAVE TO FILE THIRD-PARTY COMPLAINT**

Complainant Samsung Electronics America, Inc. (“SEA”), submits this Opposition to Respondent SM Line Corporation’s (“SM Line”) Motion for Leave to File Third-Party Complaint (“Motion”). SM Line’s Motion fails for multiple, independent reasons:

(1) SM Line failed to allege any violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (“Shipping Act”) against the purported third-party respondents as *required* for a viable third-party complaint pursuant to the Federal Maritime Commission’s (“FMC” or “Commission”) Rules of Practice and Procedure (“FMC Rule”) 502.62(b)(4);

(2) In addition to the absence of any allegation of a Shipping Act violation, Respondent fails to allege *prima facie* personal jurisdiction over the proposed third-party respondents for what appear to be service contract claims against shippers; and

(3) Even if Respondent’s Motion alleged a Shipping Act violation—which it does not—the Motion fails to meet *any* of the four factors for permissively allowing a belated third-party complaint. Allowing a third-party complaint in this matter, out of the blue, *months* into discovery and on the eve of the deposition phase of the lawsuit would unduly delay, disadvantage, and prejudice SEA’s prosecution of its claims.

I. ARGUMENT

A. The Motion Fails As It Does Not Allege Any Shipping Act Violation

The FMC Rules require that a third-party complaint “*must allege* and be limited to violations of the Shipping Act within the jurisdiction of the Commission.” 46 C.F.R. § 502.62(b)(4) (emphasis added). SM Line’s eight-page Motion does not allege *any* violation of the Shipping Act by the purported third-party respondents—Samsung SDS Asia Pacific Pte. Ltd. (“SDS”) and Samsung Electronics Logitech Co., Ltd. (“Logitech”). Nor does the Motion attach a proposed third-party complaint containing any allegation of a Shipping Act violation against the proposed respondents.¹ Instead, the motion refers to alleged service contracts between SM Line and SDS and Logitech. Having failed to allege a violation of the Shipping Act, the Motion should be denied. *See M.E. Dey & Co. v. Hapag-Lloyd AG*, FMC Docket No. 22-35, 2023 WL 3174109, at *2 (ALJ Apr. 27, 2023) (denying motion to file third-party complaint because it “[did] not clearly allege a violation of the Shipping Act or OSRA”).

B. The Motion also Fails Because the Matters Complained of are Not Limited to Violations of the Shipping Act within the Jurisdiction of the Commission

The Motion fails to satisfy the second part of FMC Rule 502.62(b)(4) (limited to violations within FMC jurisdiction) for two reasons. First, it is evident that SM Line’s grievances with SDS and Logitech² are based on alleged contractual obligations, and presumably breach of contract, which are not within the Commission’s jurisdiction. Second, SM Line fails to articulate how the FMC would legitimately have personal jurisdiction over shippers SDS or Logitech.

¹ It is customary in federal and FMC practice to attach a third-party complaint to a motion for leave. *See, e.g., M.E. Dey*, 2023 WL 3174109; *Hunter v. Cont’l Motors, Inc.*, 2020 WL 12674313, at *1 (S.D. Ga. Nov. 17, 2020). A court may deny a motion for leave to file a third-party complaint where the movant fails to submit a copy of the third-party complaint. *See HEI Resources, Inc. v. Evans*, 2011 WL 13249409, at *3 (S.D. Tex. Jan. 4, 2011). In any event, the Motion fails because SM Line did not allege a Shipping Act violation in the Motion.

² Both SDS and Logitech are separate legal and operational entities from SEA.

1. SM Line's Grievances Appear to be Based in Contract

The alleged theories upon which SM Line wishes to drag SDS and Logitech into this proceeding appear entirely contractual: SM Line asserts that “[t]here is no dispute that the charges at the heart of this proceeding relate to SDS and Logitech because of the aforementioned and attached service agreements and service contracts.” Mot. at 7. Such vague allegations in a motion for leave to file, in the absence of any draft pleadings accompanying the motion or any evidence supporting the movant’s allegations, are improper under Federal Rule of Civil Procedure 14. *See Allstate Indem. Co. v. Martin*, 2011 WL 2790265, at *2 (E.D. Pa. July 15, 2011) (finding defendant’s Rule 14 motion “improper” where the motion was “vague,” did not “provide any support for [defendant’s] assertion” against the third party, and was not accompanied by a copy of the third-party complaint).

Under the plain language of the Shipping Act, the Commission’s jurisdiction is limited to determining whether there has been a violation of the Shipping Act. *See* 46 U.S.C. § 41301(a); 46 C.F.R. § 502.62(b)(4); *see also Rahal Int’l Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 23-05, 2023 WL 5846578, at *1–2 (ALJ Sept. 6, 2023). As such, pleadings without Shipping Act violations preclude the FMC from invoking its jurisdiction. *See Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, FMC Docket No. 17-02, 2020 WL 5406762, *1, at *7 (FMC Sept. 1, 2020) (upholding dismissal of counterclaims that failed to allege a Shipping Act violation). Absent an alleged Shipping Act violation, vague references to SDS’ and Logitech’s “critical roles in this dispute” (Mot. at 4), are not sufficient for a Shipping Act complaint.

2. SM Line’s Motion Does Not Support Personal Jurisdiction over SDS or Logitech for Shipping Act Claims

Without a proposed third-party complaint, Complainant and the Presiding Officer are left to speculate as to how fleeting references to personal jurisdiction in the Motion might be alleged in SM Line’s third-party complaint. But the mere argument in the Motion that *one* of the two

entities is a licensed NVOCC and that they were “engaged in shipping and logistics in the United States,” Mot. at 2, is insufficient to meet a *prima facie* burden to allege personal jurisdiction over specific shipments here. That is especially so given that the attached Exhibits upon which the Motion relies show that SDS and Logitech certified that their capacity as shippers *was as owners of the cargo, not as NVOCCs*. See, e.g. Mot. at Exhibit A, at 2 (“Shipper Certification” selecting “(1) X THE OWNER OF THE CARGO” not NVOCC or other capacity).

Even if the purported service agreements constituted enforceable contracts—despite being presented unsigned, disorganized and unauthenticated—contractual disputes would be subject to litigation and/or arbitration under foreign law in foreign jurisdictions. See Mot. Ex. A at 15 § 11 (Singapore law and arbitration); Ex. B at 25 § 17 (Korean law and arbitration); Ex. C at 10 § 17 (Korean law and arbitration); and Ex. D at 21 § 12 (Korean law and arbitration).³

C. The Motion Fails to Satisfy the Factors Relevant to Exercise the ALJ’s Discretion to Permit a Third-Party Complaint

SM Line cites the following factors as to whether a third-party complaint should proceed: “(1) potential prejudice to plaintiffs or [the third party defendant]; (2) whether the impleader will add new and complicated issues that will threaten the orderly and prompt resolution of the case and delay the trial; (3) whether defendants unreasonably delayed in filing the third party complaint; and (4) whether the third-party complaint is so insubstantial that it fails to state a claim.” Mot. at 4, citing *Disability Rights Council of Greater Washington v. WMATA*, 2006 WL 1102767, at *1 (D.D.C. Apr. 26, 2006). But these weigh against granting SM Line’s Motion.

1. A Third-Party Complaint Would Prejudice Complainant

Respondent argues that the filing of a third-party complaint almost five months after filing its answer would not prejudice Complainant because it allegedly gave SEA a “heads up” of

³ SM Line’s assertion that two of the purported agreements, at Exhibits B and D, incorporate the tariff and bill of lading provisions in Exhibits E and F, Mot. at 3, only further complicate the issue. The tariff excerpt at Exhibit E would require arbitration in New York, before the Society of Maritime Arbitrators, and the bill of lading excerpt at Exhibit F would require litigation in the Southern District of New York.

its intention to file a third-party complaint. Mot. at 5. SEA does not know what “heads up” SM line is alluding to, but it was not in the proposed scheduling order, it was not in any meet and confer, and whatever SM Line has in mind it must have been recent because SM Line also claims that it “only recently identified these specific third-party defendants.”⁴ Mot. at 7.

SM Line also argues the mere purported existence of SM Line’s contract claims against SDS and Logitech should alleviate any prejudice to SEA. Mot. at 5. SM Line does not explain how that even makes sense. Finally, SM Line argues that SDS and Logitech are not prejudiced because discovery could be extended. Mot. at 4-5. That says nothing about the prejudice to SEA. Indeed, conceding that discovery would need to be extended demonstrates that the third-party complaint would delay SEA’s prosecution of its claims against SM Line.

2. A Third-Party Complaint Would Add New Issues, Delay, and Complicate the Prompt Resolution of this Proceeding

SM Line argues that the third-party complaint would not involve new issues or complicate or delay resolution of SEA’s complaint because: (1) the FMC allegedly has jurisdiction over the proposed third-party respondents, (2) the actions of the proposed third parties are allegedly involved under the unsigned and unverified service contracts;⁵ (3) the proposed claims (that we have not seen), are allegedly in the nature of indemnification, which

⁴ Nor was the “heads up” in SM Line’s claimed notice to SDS and Logitech of the FMC proceeding, whenever that may have occurred, nor was it when SM Line “sent a tender of defense letter” to SDS and Logitech. Mot. at 5-6. SEA has since become aware that SM Line’s alleged tender of defense letter to Logitech was sent by SM Line on September 26, 2023, on the eve of the Korean equivalent of a Thanksgiving holiday week (9/28 to 10/4) which was followed by another national holiday long weekend, National Language Day (10/7 to 10/9), which is the day SM Line filed the instant Motion. Not only is that not a “heads up” time-wise, it is not a “heads up” at all. SM Line’s request to SDS and Logitech that they undertake SM Line’s defense of the FMC proceeding clearly does not provide any notice of SM Line’s decision to abruptly change course and attempt to sue SDS and Logitech directly.

⁵ To be clear, SEA objects to the relevance in the instant proceeding of the purported service agreements and other Exhibits. These unverified documents are not signed by the shippers; the Exhibits are a jumbled mess of un-authenticated documents, some of which are not in English; the purportedly-applicable time periods of the agreement are unclear and/or not relevant; the arguments in the Motion conflict with provisions in the Exhibits; and there is no evidence connecting these purported agreements to the cargo at issue in this proceeding.

SM Line argues is not complicating; and (4) because SDS and Logitech will necessarily be involved in discovery due to the alleged service contracts. Mot at 5-6. These should be rejected.

SM Line's jurisdictional argument does not favor SM Line's position on this factor. One does not get to the discretionary factors at all unless jurisdiction is already present; the fact that it is contested and implicates multiple foreign laws and forums is of no help to SM Line's claim of no new issues or complications. The remainder of the arguments seem to suggest, without support or explanation, that adding contract-based claims against new parties would not delay or complicate the proceeding, because SM Line claims, among other things, that SDS and Logitech will necessarily be involved in discovery. That is news to SEA. As far as SEA is aware, neither SDS nor Logitech has received a third-party subpoena even though the period for document production is—as a practical matter—over, and notices of deposition ending in November have already been exchanged by both parties.

SM Line also relies improperly on *Millers Capital Ins. Co. v. Hydrofarm, Inc.*, 340 F.R.D. 198, 221 (D.D.C. 2022) for the conclusory proposition that “basic indemnification claims are not found to complicate matters at trial.” Mot. at 6. First, *Millers* found that impleading a “basic contribution” claim involving the very same facts and the same legal questions would not complicate the proceeding, but *Millers* expressly did not apply that rationale to a companion indemnification claim also at issue in that case. *Id.* at * 221. Second, *Millers* relies on *BRG Harrison Lofts Urb. Renewal LLC v. Gen. Elec. Co.*, 2020 WL 4932755, at *5 (D.N.J. Aug. 24, 2020), which distinguished “[a]ttempts to implead foreign Defendants” or to raise new legal claims that are different from the original complaint as “common examples of third-party claims that would complicate the issues at trial.” *Id.* at *5 (internal citations omitted)., SM Line's attempt to implead foreign defendants and raise new contract based claims not at issue in the Shipping Act complaint is exactly the third-party practice that would complicate this proceeding.

In reality, permitting SM Line to file a third-party complaint against SDS and Logitech at this stage of the litigation would throw a wrench in a process that has been proceeding now for five months, where document production closes on October 17, 2023, and depositions are to be completed in about a month (taking into consideration the Thanksgiving holiday). If SM Line's Motion were permitted, it would invariably require resolution of threshold jurisdictional objections that SDS and Logitech are likely to raise (*see supra* at 4), along with additional discovery necessitating further extensions of the discovery timeline and ultimate resolution of this case. *See Botkin v. Tokio Marine & Nichido Fire Ins. Co.*, 956 F. Supp. 2d 795, 802-03 (E.D. Ky. 2013) (denying leave to file third-party complaint, even when motion was "technically timely," where defendant's delay in bringing motion would have prolonged discovery and entailed further extensions of pre-trial deadlines); *Gonzalez v. Burlington Coat Factory Warehouse Corp.*, 2019 WL 10744835, at *2 (C.D. Cal. Apr. 26, 2019) (denying leave to file third-party complaint where substantial delay would have resulted due to necessity of third parties retaining counsel, answering complaint, and engaging in discovery and motion practice).⁶ Prolonging the litigation can constitute prejudice particularly where the discovery process has been underway for several months, even if it has not been fully completed. *See Hogan v. Janos Indus. Insulation Corp.*, 102 F.R.D. 205, 207 (S.D.N.Y. 1984) (denying leave to file that would prolong discovery that had been ongoing for several months).

SM Line's third-party complaint would also certainly involve new issues. Despite the ambiguity in the Motion, it is clear enough that SM Line is purporting that SDS and Logitech had unique rights, responsibilities and obligations with SM Line pursuant to the alleged service agreements. What those obligations were, and whether they were breached or not breached, the

⁶ Compare *M.E. Dey*, 2023 WL 3174109, at *2 (no undue disadvantage or prejudice to complainant given the "short time [of 17 days] that elapsed between" the filing and "the early stage of the proceeding").

remedies for any such breach, and indeed whether the contractual choice of law and forum clauses were properly followed, are simply not matters that are before the FMC in SEA's complaint against SM Line. SM Line cannot credibly suggest that its belated attempt to file a third-party complaint passes muster on this factor.

3. SM Line Unreasonably Delayed Filing the Third-Party Complaint

SM Line utterly fails to satisfy this factor. SM Line claims that it “only recently identified” SDS and Logitech as “specific third-party defendants.” Mot. at 7. That is simply not credible. SM Line knew, or certainly should have known, the identity of the parties with whom it alleges it entered into service contracts. Indeed, SM Line in fact identified both Logitech and SDS entities in its answer to the Complaint on May 12, 2023, alleging that “SEA has failed to join other critical and necessary parties to this proceeding, including but not limited to Samsung Electronics Co., Ltd., Samsung Electronics Logitech Co., Ltd., and Samsung SDS Co., Ltd. SDS, their respective agents and subsidiaries, as well as other marine terminals, rail terminals, and the truckers.” Ans., Affirm. Def. ¶ 9. SM Line did not move to dismiss on the basis of failure to join the allegedly necessary parties, nor did it implead them at that time.

SM Line also does not point to any new evidence obtained in discovery justifying its delay. Instead, it alludes to a handful of unidentified documents not produced in discovery that it presumably already had before discovery commenced. *See* Mot. at 2-4. SM Line's allegation that it only recently “understood” that SDS and Logitech were allegedly “responsible for these charges,” Mot. at 2, is not sufficient to justify the months-long delay in filing its Motion. *See Ispat Inland, Inc. v. Kemper Env't., Ltd.*, 2006 WL 3420654, at *3 (S.D.N.Y. Nov. 28, 2006) (“While defendant vaguely asserts that the grounds for its motion for leave arose from ‘recent

investigations,’ it does not cite any specific facts uncovered by such investigations that would justify its delay in filing.”).⁷ The facts confirm SM Line was dilatory in filing.⁸

4. The Third-Party Complaint is Not Substantial

SM Line argues that the third-party complaint is substantial based on its conclusory assertion that it does not fail to state a claim. Mot. at 7. At best, this is speculative. There is no complaint to even state any claim, there is no allegation of a violation of the Shipping Act by the proposed third-party respondents, and the apparent claims based on the “aforementioned and attached service agreements and service contracts” do not allege Shipping Act violations. It is hard to imagine a less substantial “complaint” than what is reflected in the Motion.

D. SM Line Failed to Meet and Confer Regarding the Motion

FMC Rules explicitly requires that “[t]he parties must attempt to discuss the anticipated motion with each other in a good faith effort to determine whether there is any opposition to the relief sought and, if there is opposition, to narrow the areas of disagreement.” FMC Rule 502.71.

SM Line asserts that is “has conferred with counsel for Complainant about this third-party complaint. Despite SM Line’s best efforts to obtain Complainant’s consent, Complainant opposes this motion.” Mot. at 8. However, SM Line did not conduct a meet and confer as claimed and Complainant did not become aware of the Motion until it had been served the filing at 10 P.M. EST on Sunday, October 8, 2023. SM Line’s claim that it gave a vague “heads-up” does not meet the meet-and-confer obligation nor was SEA made “aware of and ... prepared for the addition of SDS and Logitech” as SM Line wrongly claims. Mot. at 5. Whatever vague

⁷ *Dispute Resolution Mgmt. v. Greenberg Traurig*, 2004 WL 235270, at *1 (S.D.N.Y. Feb. 9, 2004) (quoting *Blais Constr. Co. v. Hanover Square Assocs.*, 733 F. Supp. 149, 158 (N.D.N.Y. 1990)) (“If the movant fails to offer a reasonable explanation for its delay, a court will ‘assume that there is no legitimate excuse and that the defendant has simply moved in a dilatory fashion.’”); *Yash Raj Films (USA) v. Kumar*, 2006 WL 8439166, at *3 (E.D.N.Y. June 20, 2006) (“Unreasonable delay. . . when the defendant fails to offer a valid excuse for the delay.”).

⁸ See *Botkin v. Tokio Marine & Nichido Fire Ins. Co.*, 956 F. Supp. 2d 795, 803 (E.D. Ky. 2013) (citing *Capitol Records, Inc. v. City Hall Records, Inc.*, 2008 WL 2811481, at *2 (S.D.N.Y. July 18, 2008)). See *supra* *Dispute Resolution Mgmt.* at *2 (denying defendants leave to file a third-party complaint where “the facts in the record undermine[d] defendants’ allegation that they only recently learned of” the allegedly new facts).

references to potential third-party practice SM Line might be referring to, if any, SM Line has not given advance notice of the purported third-party complaint or sought to discuss it or potentially narrow the issues. SM Line did not meet its obligations under the Rules.

II. CONCLUSION

SEA respectfully requests that the Presiding Officer deny SM Line's Motion.

Dated: October 16, 2023

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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